**Telesat Canada**

**Notes to the 2019 Consolidated Financial Statements - (Continued)**
**(all amounts in thousands of Canadian dollars, except where otherwise noted)**

**30. EMPLOYEE BENEFIT PLANS** (cont.)

| | Pension | | Other | |
|---|---|---|---|---|
| **As at December 31, 2018** | **1% increase** | **1% decrease** | **1% increase** | **1% decrease** |
| Discount rate | $ (39,145) | $ 49,361 | $ (2,471) | $ 3,224 |
| Future salary growth | $ 7,572 | $ (6,919) | N/A | N/A |
| Medical and dental trend rates | N/A | N/A | $ 1,703 | $ (1,280) |

The above sensitivities are hypothetical and should be used with caution. Changes in amounts based on a one percent variation in assumptions generally cannot be extrapolated because the relationship of the change in assumption to the change in amounts may not be linear. The sensitivities have been calculated independently of changes in other key variables. Changes in one factor may result in changes in another, which could amplify or reduce certain sensitivities.

The Company expects to make contributions of $5.1 million to the defined benefit plans and $0.6 million to the defined contribution plan of Telesat Canada during the next fiscal year.

**31. SUPPLEMENTAL CASH FLOW INFORMATION**

Cash and cash equivalents were comprised of the following:

| **As at December 31,** | **2019** | **2018** | **2017** |
|---|---|---|---|
| Cash | $ 542,537 | $ 342,874 | $ 388,372 |
| Short-term investments[1] | 484,685 | 425,559 | 90,673 |
| **Cash and cash equivalents** | $ 1,027,222 | $ 768,433 | $ 479,045 |

(1) Consisted of short-term investments with an original maturity of three months or less or which are available on demand with no penalty for early redemption.

Income taxes paid, net of income taxes received was comprised of the following:

| **Years ended December 31,** | **2019** | **2018** | **2017** |
|---|---|---|---|
| Income taxes paid | $ (101,952) | $ (109,193) | $ (85,503) |
| Income taxes received | 6,497 | 2,885 | 22,512 |
| | $ (95,455) | $ (106,308) | $ (62,991) |

Interest paid, net of capitalized interest and interest received was comprised of the following:

| **Years ended December 31,** | **2019** | **2018** | **2017** |
|---|---|---|---|
| Interest paid | $ (195,671) | $ (207,339) | $ (219,773) |
| Interest received | 19,559 | 11,802 | 6,201 |
| Capitalized interest | — | 19,120 | 18,324 |
| | $ (176,112) | $ (176,417) | $ (195,248) |